AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies.

B326: Advanced financial Accounting

Spring Semester 2024-2025

Mid Term Examination – Makeup – Version A

Date: 22-April-2025

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy

Question 1 (30 mark)

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A- Under current GAAP a subsidiary can be excluded from consolidation in some situations. List four cases where a subsidiary may be excluded from consolidation. (10 Marks)

B. Parrot Incorporated purchased the assets and liabilities of Sparrow Company at the close of business on December 31, 2021. Parrot borrowed $2,000,000 to complete this transaction, in addition to the $640,000 cash that they paid directly. The fair value and book value of Sparrow's recorded assets and liabilities as of the date of acquisition are listed below. In addition, Sparrow had a patent that had a fair value of $50,000.

	Book Value	Fair Value
Cash	$120,000	$120,000
Inventories	220,000	250,000
Other current assets	630,000	600,000
Land	270,000	320,000
Plant assets-net	4,650,000	4,600,000
Total Assets	$5,890,000	
Accounts payable	$1,200,000	$1,200,000
Notes payable	2,100,000	2,100,000
Capital stock, $5 par	700,000	
Additional paid-in capital	1,400,000	
Retained Earnings	490,000	
Total Liabilities & Equities	$5,890,000	

Required:

1. Prepare Parrot's general journal entry for the acquisition of Sparrow, assuming that Sparrow survives as a separate legal entity.(8 Marks)

2. Prepare Parrot's general journal entry for the acquisition of Sparrow, assuming that Sparrow will dissolve as a separate legal entity.(12 Marks)

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Question 2 (30 Mark)

Parrot Inc. acquired an 85% interest in Sparrow Corporation on January 2, 2021 for $42,500 cash when Sparrow had Capital Stock of $15,000 and Retained Earnings of $25,000. Sparrow's

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assets and liabilities had book values equal to their fair values except for inventory that was undervalued by $2,000. Balance sheets for Parrot and Sparrow on January 2, 2021, immediately after the business combination, are presented in the first two columns of the consolidated balance sheet working papers.

			Eliminations		
	Parrot	Sparrow	Debit	Credit	Consolidated Balance Sheet
Assets $					
Cash	63,500	4,000			
Account Receivable-net	75,000	9,000			
Inventories	39,000	10,000			
Plant assets-net	170,000	35,000			
Investment in Sparrow	42,500				
Total Assets	390,000	58,000			
Equities					
Payables	120,000	18,000			
Capital Stock	100,000	15,000			
Retained Earnings	170,000	25,000			
Non-controlling Interest					
Total Equities $	390,000	58,000			

Required:

1-Prepare the required elimination entries. Show all required computations

2- Complete the consolidation balance sheet working papers for Parrot and subsidiary at January 1, 2021.

Question 3 (40 Marks)

Patriot Corporation has acquired 80% of Sundown's company stock for $140,000 on January 1, 2021, when Subsidiary equity consists of $90,000 capital stock and $40,000 retained earnings.

- Sundown had net income of $40,000 and had dividends of $12,000, which was recorded as payable by Sundown but not recorded yet by Patriot Corporation.
- In time of acquisition a building was undervalued by $30,000, the building has a useful life of 10 years.
- Any difference between book and fair value above the 30,000 will be assigned to goodwill.

Required: Using Equity Method

Prepare the elimination entries required for consolidation on December 31, 2021. *Show all required computations*

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